PRELIMINARY PILOT PRODUCTION COST ANALYSIS

SRC Pilot: Canned Bambusa vulgaris Bamboo Shoots and Bamboo Flour

Pilot date: 28 October 2026 | Report date: 29 October 2026

Prepared by Quality Solutions Limited (QSL) | Jamaican dollars (JMD)

STATUS: INTERIM — flour output, drained weights and product-specific SRC charges not yet reported.

1. Executive Summary

The Scientific Research Council (SRC) processed approximately 23 kg of freshly harvested, unprocessed Bambusa vulgaris shoots. About 40% of the shoots were allocated to canning and 60% to bamboo flour. The canning portion yielded 11 cans reportedly weighing 540 g each. BIAJ paid JMD $30,000 to the farmer and approximately JMD $48,000 to SRC for both products. Packaging was donated.

Allocating both cash expenditures 40% to canned shoots and 60% to flour gives an indicative canning expenditure of JMD $31,200, or JMD $2,836.36 per can. This is a provisional cost-allocation estimate, NOT a measured commercial unit cost. It excludes the value of donated packaging and any additional distribution, marketing, compliance and ongoing overhead costs.

2. Actual Pilot Inputs and Outputs

Measure	Reported amount
Fresh shoots supplied	Approximately 23 kg
Canning allocation (40%)	Approximately 9.2 kg fresh shoots
Flour allocation (60%)	Approximately 13.8 kg fresh shoots
Cans produced	11
Reported can weight	540 g each
Total reported filled weight	5.94 kg (11 × 540 g)
Drained bamboo weight per can	Not yet supplied
Flour produced	Not yet supplied
Farmer payment	JMD $30,000
SRC charge, both product lines	Approximately JMD $48,000
Packaging	Donated, value unknown
Total known cash outlay	Approximately JMD $78,000

3. Provisional Allocation of Shared Costs

Expense	Canning: 40%	Flour: 60%	Total
Farmer payment	$12,000	$18,000	$30,000
SRC processing charge	$19,200	$28,800	$48,000
Allocated cash total	$31,200	$46,800	$78,000

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Allocation method: raw-shoot share, used only because SRC has not yet supplied product-specific costs. The actual cost of canning may differ substantially from 40% of the SRC fee. Packaging value is omitted because the donor supplied it without charge.

Provisional cash cost per can = JMD $31,200 ÷ 11 = JMD $2,836.36.

4. Selling Price and Gross Contribution

Price per can	Contribution per can	Contribution across 11 cans
$3,000	$163.64	$1,800
$3,500	$663.64	$7,300
$4,000	$1,163.64	$12,800
$4,500	$1,663.64	$18,300
$5,000	$2,163.64	$23,800

These are illustrative gross contributions after the provisionally allocated pilot cash cost only. They are not net profit and do not establish that customers would accept these prices.

5. Gross-Margin Selling-Price Targets

Target gross margin on selling price	Required selling price per can
20%	JMD $3,545.45
30%	JMD $4,051.95
35%	JMD $4,363.64
40%	JMD $4,727.27

Formula: required selling price = unit cost ÷ (1 − target gross margin). All prices assume the same provisional JMD $2,836.36 cost and exclude packaging replacement costs and other unallocated expenses.

6. Key Commercial Findings

- The farmer payment equates to approximately JMD $1,304.35 per kg of fresh shoots (JMD $30,000 ÷ 23 kg). Confirm whether this was an exceptional pilot price and whether harvesting/transport were included.
- The 11 cans contain approximately 5.94 kg of filled product, not necessarily 5.94 kg of drained edible shoots. The drained weight is essential to calculating the actual product yield.
- The SRC fee covered two different processes. Assigning 40% to canning is a temporary convention, not evidence of the true relative processing costs.
- Donated packaging reduced cash expenditure during the pilot but cannot be assumed free in routine commercial production.
- The earlier theoretical 400 g-can estimate is not directly comparable to this 540 g small-batch pilot. Larger batch quotations are needed to assess commercial scale.

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7. Information Requested from SRC

1. Total bamboo flour output (kg) and its moisture specification.
2. Drained bamboo shoot weight per 540 g can, including net fill versus packing liquid.
3. Itemized processing charges attributable to canning and to flour production.
4. The number and cost of cans, ends, labels and cartons donated.
5. Testing results, process-validation status and any further laboratory or regulatory requirements.
6. Estimated processing charges and minimum batch size for a larger commercial production run.

8. Preliminary Recommendation

Do not set a final commercial selling price or claim commercial profitability on the basis of this pilot alone. For planning, a price above JMD $2,836.36 would cover the provisionally allocated pilot cash cost, but not necessarily full economic cost. A JMD $4,000–$4,500 price would create a positive provisional contribution, subject to market acceptance. QSL recommends requesting SRC's missing output and cost data, then preparing an updated two-product cost model and obtaining a quote for a larger canning batch.

Important Qualification

This is an interim analytical report based on figures reported by BIAJ for the SRC pilot. No invoice breakdown, flour yield, drained weights or independent verification of processing costs has been supplied. Figures are rounded where appropriate. The report is for decision support and is not a certified cost statement or assurance of profitability.

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